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Banking & fintech policy, with evidence

FOR BANKERS

Mule accounts: what Nepali banks must tighten

How scam money moves through Nepal's banking system, and where it can be stopped.

Source: Views personal; based on public information.

THE ROUTE

Minutes from victim to cash

Within 5–10 minutes, stolen funds are split across 4–5 accounts at different banks.

Most are withdrawn as cash at ATMs in border areas. Some may move via hundi or crypto (police suspicion).

Source: eAarthik (1 Nov 2026) quoting Nepal Police Cyber Bureau and NRB spokespersons; Kantipur (6 Nov 2026)

THE MULES

Who holds the receiving accounts?

NRB's spokesperson: dormant accounts and accounts with outdated KYC are commonly used.

Police report people lending their citizenship documents to open many accounts for a fee.

Source: eAarthik (1 Nov 2026) quoting Nepal Police Cyber Bureau and NRB spokespersons; Kantipur (6 Nov 2026)

THE COST

Recovery stays low

10–12%

Share of online-fraud money police say is recovered. FY 2025/26: 20,526 cyber-crime complaints; 7,000+ involved financial fraud.

Source: eAarthik (1 Nov 2026); Banking Samachar; Annapurna Post

THE NEW TOOL

Hotline 1247 since 6 Nov 2026

Police, NRB, banks, payment providers, telecoms and ISPs under one roof, 24/7.

Target: register a complaint in 10 minutes; freeze accounts, wallets and SIMs in 10–60 minutes.

Source: Kantipur (6 Nov 2026); Onlinekhabar (9 Nov 2026)

MY VIEW

Four controls worth tightening

1. Extra checks when a dormant account is reactivated.

2. Prioritised KYC refresh for long-inactive customers.

3. Velocity alerts on rapid inbound-then-outbound transfers.

4. A tested freeze drill with the 1247 centre.

Source: Opinion of the author; not the policy of any institution.

THE TAKEAWAY

The first hour decides recovery

Faster freezes need clean accounts upstream. KYC hygiene is now a fraud-prevention tool, not just compliance.

Follow Ishaan Pranava

Source: Views personal; based on public information.